

On March 12 2020, the Kotak stock opened gap down and started to plummet to the 1005 price level. 8 months after that it was completely range-bound. What's more important to notice is, when the price was in a consolidation, the RSI didn't move beyond the range of 40-60. Due to this, Supertrend was generating false signals. When I observed this pattern, I was curious to know how market would behave if the RSI go beyond 40-60 level. Since its a bigger timeframe, the market is not much noisy, and we can trust the market moves.



On 27 Oct 2020, Kotak Mahindra Bank had a breakout on the upside. With the breakout in price, we can see that the RSI moved beyond the 60 level and the Supertrend gave a bullish signal. The unconventional approach of the RSI states that if the RSI is below 40, the market is bearish, if the market is in the range of 40-60, the market is sideways, and when the market is above the 60 level, is bullish.

After testing out the RSI and Supertrend combination on different stocks, I began to backtest it thoroughly to get an edge over the strategy. The idea behind the combination of RSI and Supertrend is to get good positional trades and avoid getting false signals of an individual technical indicator.